Global Investing

Foundations of investing across asset classes and markets

- Level: All levels
- Format: Self-paced micro-lessons + exercises
- Estimated time: 6-10 hours
- Last update: 2025-12-26

This module builds a practical, global view of investing. You will learn how markets work, how money moves between asset classes, and how to build a diversified portfolio aligned with your goals and risk tolerance.

Investor mindset: Think in probabilities, diversify intelligently, and measure decisions by process - not by a single outcome.

1. Learning Outcomes

By the end of this module, the learner will be able to:

- Explain how equities, bonds, commodities, FX, and alternatives differ in risk/return and liquidity
- Read basic market data: price, volume, volatility, yield, and correlation
- Build a diversified core portfolio and define rebalancing rules
- Evaluate an investment idea using a simple thesis + risk plan + exit criteria

Prerequisites

- Basic math and percentages
- Willingness to track results in a simple journal/spreadsheet

2. Curriculum Map (Suggested Path)

Unit	Focus	Key Deliverable
1	Market structure & instruments	Asset-class comparison sheet
2	Return, risk, volatility, correlation	Personal risk profile
3	Portfolio construction & diversification	Draft portfolio allocation
4	Research workflow & thesis building	One-page thesis template
5	Rebalancing & long-term discipline	Rebalancing policy

3. Core Concepts

Asset classes and why they exist

Each asset class is a different claim on cashflows or scarcity. Global investors diversify because regimes change: growth, inflation, recession, and crisis impact assets differently.

- Equities: ownership in companies (growth-sensitive)
- Bonds: lending to issuers (rate-sensitive)
- Commodities: inflation-sensitive; supply shocks
- FX: relative economic strength and rates
- Alternatives: real estate, private equity, hedge strategies

Risk is multi-dimensional

Risk is not only 'price goes down'. Risk also includes liquidity risk, leverage risk, concentration risk, currency risk, and tail risk.

- Volatility risk: normal ups/downs

- Drawdown risk: peak-to-trough loss
- Liquidity risk: inability to exit at fair price
- Correlation risk: diversification disappears in crises

Diversification with intention

Diversification is not owning many things - it is owning exposures that behave differently. Use correlations and scenario thinking to reduce portfolio fragility.

Process-based investing

A repeatable process beats prediction. Define thesis, time horizon, sizing, risk limits, and review cadence before entering.

4. Practical Toolkit

Use these templates and checklists while you learn. Keep them in your investor journal.

One-Page Investment Thesis

Turn a 'tip' into a structured decision.

- What is the idea and why now?
- Time horizon (days / months / years)
- Catalysts (what could make it work)
- Key risks (top 3) and how you will respond
- Entry zone, invalidation level, target zone
- Position size and max loss you accept

Diversification Checklist

Avoid accidental concentration.

- Do I have too much of one sector/country?
- Do my positions depend on the same macro factor?
- What happens in a rate spike? inflation spike? recession?
- Do I have cash or defensive exposure?

Rebalancing Rules

Rebalancing enforces discipline.

- Choose a cadence (monthly/quarterly)
- Set bands (e.g., rebalance if allocation drifts 5%+)
- Prioritize taxes/fees and liquidity
- Document every rebalance decision

5. Hands-on Exercises

Build your personal investor profile

Define what you are optimizing for (growth, stability, income) and your maximum tolerable drawdown.

- Write your 12-month and 3-year goals
- Define max monthly loss you can tolerate
- Choose a risk category: conservative / balanced / growth

Output: A 1-page profile statement

Create a starter diversified allocation

Draft an allocation that fits your profile. Keep it simple.

- Pick 3-5 asset exposures (e.g., equity, bonds, gold, cash)
- Assign percentages that sum to 100%
- Write a rebalancing cadence

Output: Allocation table + rules

Thesis test on one asset

Choose one asset and write a thesis before checking social media opinions.

- Fill the One-Page Thesis template
- Define invalidation and exit plan
- Record what would make you change your mind

Output: Completed thesis page

6. Quick Assessment (Self-Check)

Answer in 5-10 minutes. If you miss more than 2 questions, review Units 1-3.

- 1. What is the difference between volatility and drawdown?
- 2. Why can correlations rise during crises?
- 3. Name three risks besides price risk.
- 4. What does rebalancing achieve in a portfolio?
- 5. What is an 'invalidation level' in a thesis?

7. Mini Glossary

Asset class: A category of investments with similar characteristics (e.g., equities).

Liquidity: How easily an asset can be bought/sold without moving price.

Volatility: Typical variation of returns over time.

Correlation: How two assets move relative to each other.

Diversification: Reducing risk by combining different exposures.

Drawdown: Peak-to-trough loss in value.

Yield: Income return, typically for bonds or dividends.

Rebalancing: Restoring portfolio weights to target allocations.

8. Next Steps

After completing this module, connect Global Investing with Capital Management and Risk Management to build a complete investor operating system.

- Start an investor journal (weekly entries).
- Track your portfolio allocation monthly.
- Complete 2 theses on different asset classes.